

Opening Range Break

Why the Opening Range Break works:

- An in-play stock will naturally attract more participants and this can often lead to a battle between buyers and sellers
 - This battle can often be seen by a defined range where we can clearly see where the buyers and sellers are
 - We look for this range to be built out anywhere from 5-30 minutes •
- The ORB works because, eventually, one side will be overwhelmed by the other and this will often lead to a trending move

Entry Rules (inverted rules for the short side):

- Enter aggressively when the range is broken

Stop Loss Rules:

- The stop should be placed just below VWAP
- We will only try this trade once

Exit Rules:

- This is a trending trade so we will look for two legs
- We want to exit half into the first leg and sell the rest into the second leg

Factors that increase the probability of this trade working:

- We want to see a clear range develop
- The range is built out above a resistance level
- The stock is also breaking out on the daily chart

Factors that decrease the probability of this trade working:

• We do not want to see a choppy range where it is not clear where the buyers & sellers are

- We do not want to see a stuff when the range is broken, the stock

should trend smoothly after the break

The ideal times of day to take this trade:

- Morning (9:45 AM - 11 AM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the range is not well defined and has multiple failed breakouts

